

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT BED BATH & BEYOND INC.'S REPLY IN SUPPORT OF MOTION
FOR PARTIAL DECISION ON THE PLEADINGS AGAINST RESPONDENTS
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED**

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Complainant Bed Bath & Beyond Inc. (“BBBY” or “Complainant”) moved for a Partial Decision on the Pleadings (the “Motion”) that the First, Second, and Third Affirmative Defenses set forth in Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited’s (collectively, “OOCL” or “Respondents”) May 22, 2023 Answer to Verified Complaint (the “Answer”) are legally invalid and should be dismissed. *First*, Complainant challenged the First and Second Affirmative Defenses’ contention that the Federal Maritime Commission (the “Commission”) lacks jurisdiction over Complainant’s claims because they are purportedly “premised on the obligation to meet one’s service contract commitments.” This argument effectively seeks to rewrite the Verified Complaint in this action (the “Complaint”) and ignores Complainant’s well-pled claims that arise exclusively from the Shipping Act and are properly brought before the Commission. *Second*, Complainant sought dismissal of the Third Affirmative Defense, which claims that, prior to 2022, the Commission lacked jurisdiction over cargo space accommodations, and thus lacks jurisdiction over Complainant’s claims in this action.

Respondents’ Opposition to the Motion, filed July 19, 2023 (the “Opposition”), fails to provide any basis to support the legal validity of Respondents’ First, Second, or Third Affirmative Defenses or show why Respondents should be permitted to preserve their baseless jurisdictional defenses as “aces up their sleeves” through discovery. Consequently, the Presiding Officer should grant the Motion and dismiss the First, Second, and Third Affirmative Defenses.

ARGUMENT

I. RESPONDENTS HAVE FAILED TO SHOW THAT THEIR FIRST, SECOND, OR THIRD AFFIRMATIVE DEFENSES HAVE ANY LEGAL MERIT.

A. Respondents’ First and Second Affirmative Defenses Fail as a Matter of Law.

The Motion challenges Respondents’ First and Third Affirmative Defenses to the extent they each allege that 46 U.S. Code Section 40502(f) bars Commission jurisdiction over

Complainant's claims. Such an argument improperly rewrites Complainant's Shipping Act claims¹ as breach of contract claims and would limit the Commission's jurisdiction in a manner inconsistent with other express provisions of the Shipping Act as well as Commission precedent.²

1. The First and Second Affirmative Defenses Improperly Invoke § 40502(f) By Rewriting the Complaint's Shipping Act Claims as Breach of Contract Claims.

Section 40502(f)'s commitment of breach of contract claims to courts is irrelevant to this action because neither Count III nor any of Complainant's other causes of action brings such a claim.³ Instead, Count III is explicitly brought under 46 U.S. Code Section 41104(a)(2), which prohibits a carrier from providing service in the liner trade that is "not in accordance with the rates, charges, classifications, rules, and practices contained in . . . a service contract" By the plain language of the statute, claims under this prong of Section 41104(a)(2) *necessarily* arise in the context of a service contract. If, as Respondents urge, the mere existence of a service contract between the parties were sufficient to cause Section 40502(f) to trump all of the statutory protections that the Shipping Act affords to shippers—including statutory protections such as this one, which applies *specifically* to service contract relationships—then Section 41104(a)(2) would be rendered unenforceable dead letter. Such a result cannot be reconciled with the express statutory language and must be rejected.

Moreover, Count III is not "essentially" a simple breach of contract claim, as Respondents contend. The Complaint alleges that OOCL's practices "of systematically failing to meet its service commitments to Complainant and seeking to coerce Complainant to pay PSS and enter

¹ Shipping Act of 1984, as amended, 46 U.S. Code Sections 40101 et seq. (the "Shipping Act").

² Section IV of the Opposition makes clear that Respondents raise these Defenses *only* as to Count III's 46 U.S.C. § 41104(a)(2) claim. (Opp'n at 20.)

³ As set forth more fully in Complainant's Motion, *none* of the Counts in the Complaint bring claims for a breach of contract. (Mot. at 6–9.) These Affirmative Defenses are thus baseless even if Respondents later claim that the Defenses were intended to reach beyond Count III.

into premium rate contracts constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Respondent's Service Contracts with Complainant", and further alleges that OOCL engaged in such conduct with other shippers, as well. (Verified Compl. ¶¶ 92, 127.) Accordingly, Count III implicates allegedly consistent practices in violation of the Shipping Act affecting Complainant *and* other shippers.

In *Global Link Logistics, Inc. v. Hapag-Lloyd Ag*, FMC Dkt. No. 13-07, 2014 WL 5316345, at *11 (Fed. Mar. Comm'n C.A.L.J. April 17, 2014), relied on by Respondents, the Presiding Officer applied Section 40502(f) on a motion to dismiss (which Respondents notably did not bring here), and explained that:

[T]he . . . appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Id. (quoting *Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, FMC Dkt. No. 99-24, 2000 WL 1648961, 28 S.R.R. 1635 (Fed. Mar. Comm'n 2000)). In performing this test, the Presiding Officer in *Global Link* determined that mere allegations of administrative errors, untimely corrections from Respondents' contract processing center, contract mistakes and delays, failure to provide adequate support, and failures to address an ongoing MQC shortfall after promises to do so were themselves "inherently contract claims" reserved for a court or arbitrator and not the Commission. *Global Link*, 2014 WL 5316345, at *20.

The facts alleged here, however, differ significantly from *Global Link*. Count III incorporates allegations that Respondents engaged in a practice of systematically failing to meet commitments and coercing PSS and premium rate contracts, not only with respect to Complainant,

but other shippers, as well. These are not administrative errors or an isolated failure to meet an MQC in a single service contract, but instead are alleged to be elements of a concerted effort by Respondents to discard their obligations to shippers during a period of unprecedented disruption in order to take advantage of record spot market prices and auction off what should have been committed space to the highest bidder. Accordingly, neither *Global Link* nor *Cargo One* provides a basis for dismissing any of Complainant's causes of action.

2. The Presiding Officer Has Already Adjudicated Identical Statutory Provisions in Proceedings Alleging Similar Facts.

As the Presiding Officer explained in decisions in two recent cases, the Commission "has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations may constitute both breach of contract claims and claims that the entity violated the Shipping Act." *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2022 WL 538935, at *4 (Fed. Mar. Comm'n C.A.L.J. Feb. 18, 2022); *accord MCS Indus., Inc. v. Cosco Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, 2022 WL 458569, at *5–6 (Fed. Mar. Comm'n C.A.L.J. Feb. 4, 2022).⁴ In both cases, Complainant brought a 41104(a)(2) claim and in both cases, the Presiding Officer found that it was proper to adjudicate that claim. This is consistent with long-standing Commission precedent. *See Anchor Shipping Co. v. Aliana Navegao E Logística Ltda.*, FMC Dkt. No. 02-04, 2006 WL 2007808, at *11 (Fed. Mar. Comm'n 2006) ("Because alleged Shipping Act violations are intertwined with breach of contract issues in the present case, such matters must be resolved before the Commission."). Respondents' contention to the contrary fails.

⁴ Respondents claim, citing 46 C.F.R. § 502.227(a)(5), that the *MCS* and *OJ Commerce* decisions are of no precedential value because "upon the filing of exceptions to . . . an initial decision, such decision shall become inoperative until the Commission determines the matter" Respondents cite no authority for the proposition that such decisions are of no *legal precedential value* even if the decision is inoperative as to the rights of the parties to the proceeding. At a minimum, these decisions are (highly) persuasive authority, reflecting the most recent available guidance from the Presiding Officer on these issues in factual contexts similar to that of this action.

B. Respondents' Contention that Complainant's Claims in Count I Are "Outside the Scope of 46 U.S.C. § 41102(c)" Is Irrelevant and Baseless.

Section V of the Opposition opens by claiming that "[i]n challenging the First and Third Affirmative Defenses, Complainants [sic] seek to" avoid "decades of sound Commission precedent affirming that 46 U.S.C. § 41102(c) does not extend to the types of service contract performance disputes BBY alleges." (Opp'n at 25.) Respondents elaborate that they now contend—for the first time—that Section 41102(c) relates only to "receiving, handling, storing, or delivering property" and thus cannot support claims related to transportation or accommodations. (Opp'n at 25–27.) Although Count I of the Complaint is brought pursuant to 46 U.S.C. § 41102(c), Respondents' arguments are untethered to the Affirmative Defenses as written and add an additional affirmative defense not previously raised.

1. Respondents Waived This Defense by Failing to Raise It Previously.

"[I]t is well-settled that '[a] party's failure to plead an affirmative defense . . . generally 'results in the waiver of that defense *and its exclusion from the case.*'" *Harris v. Sec'y, U.S. Dep't of Veterans Affs.*, 126 F.3d 339, 343 (D.C. Cir. 1997) (citation omitted) (emphasis in original). Here, it cannot be disputed that the First, Second, and Third Affirmative Defenses fail to challenge Complainant's causes of action under 46 U.S. Code Section 41102(c) as not arising in the context of "receiving, handling, storing, or delivering property." Instead, Affirmative Defense One claims, as to Section 41102, that the claim "ignores recent FMC interpretive rule and recent precedent that limits the section to only those cases where a regulated entity has engaged in a practice or regulation on a normal, customary, and continuous basis (as opposed to a particularly disputed contract or transaction) and where such practice or regulation is unjust or unreasonable." (Answer at 2.) The other two challenged Affirmative Defenses do not specifically address Section 41102 or otherwise address the "receiving, handling, storing, or delivery" of property. Because

Respondents failed to raise this Affirmative Defense in their Answer, they have waived it, and the Presiding Officer need not review the merits of their argument.

2. Even If the New Defense Is Not Waived, It Is Irrelevant and Baseless.

Section V of the Opposition is irrelevant to Complainant's Motion because it sets up a strawman affirmative defense that the Motion did not challenge and then defends it. Complainant seeks dismissal of the First and Second Affirmative Defenses as they relate to jurisdictional/contract issues as discussed above, and the Third Affirmative Defense as it relates to whether prior versions of the Shipping Act support Complainant's claims. Respondents' new challenge to Count I is thus wholly irrelevant to the Motion, which should rise or fall based on the Affirmative Defenses actually pled and not new defenses shoehorned into the Opposition. *See, e.g., Najee-Ullah v. New York City Dep't of Educ.*, No. 05 CV 6202GBD, 2008 WL 852475, at *3 (S.D.N.Y. Mar. 31, 2008) ("[A] party is not entitled to amend his pleading through statements in his brief.") (citations omitted).

Respondents' new affirmative defense is also baseless. Although the Presiding Officer need not reach the issue because this is a new affirmative defense not set forth in the Answer and thus waived and not subject to the Motion, it is legally incorrect for Respondents to contend that Section 41102(c) does not prohibit misconduct as it relates to transportation and space accommodation. Indeed, the Presiding Officer determined in *MCS* that the complaint there supported claims relating to "receiving, handling, storing, and delivering the property" through allegations of "unjust and unreasonable practices, including . . . 'systematically preferring higher-priced cargo over performing on its service contracts, and deliberately coercing surcharges including [peak season surcharges ("PSS")]" as a precondition to carry previously contracted

cargo.” *MCS Industries, Inc.*, 2022 WL 458569, at *4.⁵ Thus, to the extent not waived by its omission from Respondents’ Answer, Respondents’ argument in Section V of their Opposition is irrelevant to the Motion, and should be rejected.

C. Respondents’ Similar Contention that Complainant’s Claims in Count IV Are “Outside the Scope of 46 U.S.C. § 41104(a)(10)” Are Irrelevant and Baseless.

As with Respondents’ arguments in Section V of the Opposition, Section VI of the Opposition claims that Count IV of the Complaint, brought under 46 U.S. Code Section 41104(a)(10), fails to state a claim. (Opp’n at 29–30.) As with Respondents’ arguments in Section V of the Opposition, this argument (1) is irrelevant to the relief sought in Complainant’s Motion, which asks the Presiding Officer to dismiss Respondents’ First, Second, and Third Affirmative Defenses as Respondents asserted them in their Answer, not as they are reimaged in the Opposition, and (2) has been waived because it was not raised in the Respondents’ original Affirmative Defenses. Moreover, on the merits, it is incorrect for Respondents to contend that Complainant’s allegations regarding systemic failures to meet service commitments, failures to provide contracted space without PSS or premium rates, and other failures with respect to Complainant and, upon information and belief, other shippers, do not state a claim under Section

⁵ The cases cited by Respondents do not support their defenses. For example, *D.L. Piazza Co. v. West Coast Line, Inc.*, 3 F.M.C. 608, 616 (1951) simply held that even though the shipper’s rate called for their exclusive use of the ship, the carrier’s justified decision to offer unused space to others was a rate-making issue not connected to the handling, storing, or delivering of property. The claims here present a much broader course of alleged conduct and widespread coercive measures not present in *D.L. Piazza*. Respondents’ attempt to cast Complainant’s claims as limited to mere “transportation of property” issues (Opp’n at 27) is equally flawed because the Complaint alleges that Respondents “systematically fail[ed] to meet its service commitments to Complainant and, upon information and belief, other shippers” (Compl. ¶ 20), assessed improper detention and demurrage charges (Compl. ¶ 23), and “coerc[ed] premium pricing from Complainant [and others] by inducing Complainant to enter into premium rate contracts while failing to meet its existing service commitments to Complainant” (Compl. ¶¶ 25 and 123). *ANERA and Its Members - Opting Out of Service Contracts*, FMC Dkt. No. 99-05, 1999 WL 1294883, at *1928, S.R.R. 1215, 1229 (Fed. Mar. Comm’n 1999), relied on by Respondents (Opp’n at 28), is equally unavailing because the Commission expressly chose not to address the substance of whether the conduct fell within the statute. Further, the Presiding Officer in *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419–20 (Decision by Examiner, Oct. 18, 1962), explained that the provision regarding the receiving, handling, storing, and delivering of property indeed can relate to shipping practices including the refusal to deliver cargo, and can govern certain practices by a carrier that, when carried out over a series of actions, violated the Shipping Act.

41104(a)(10). In *MCS*, the Presiding Officer found the opposite, stating that “‘a systematic refusal to deal with Complainant that resulted in the failure to book Respondent’s shipments’ as well as ‘failing to provide contracted space, failing to book Complainant’s cargo, failing to provide necessary information concerning booking issues, and engaging in a scheme to withhold service unless Complainant agreed to PSS’” properly stated an unlawful refusal to deal claim under Section 41104(a)(10). *MCS Industries, Inc.*, 2022 WL 458569, at *9.

D. Respondents Fail to Support Their Third Affirmative Defense.

Respondents’ Third Affirmative Defense claims, without justification, that the version of the Shipping Act in effect at the times of the alleged conduct at issue in this action did not provide a statutory basis for Counts I, III or IV because the Commission’s “authority to regulate cargo-space accommodations under service contracts” was curtailed between the passage of OSRA 1998⁶ and the OSRA 2022,⁷ when “Congress restored” the authority to regulate space accommodations.⁸ (Answer at 14–15; Opp’n at 4–5, 19.) Although Respondents accuse Complainant of seeking to increase the scope and breadth of OSRA 1998 in purportedly inappropriate ways, it is actually the Respondents who have engaged in a *post hoc* evisceration of OSRA 1998 in contravention of (1) Respondents’ own interpretation of the 2022 statute, (2) the plain language of the Shipping Act, (3) the contemporaneous statements regarding the effect of OSRA 1998 on the Shipping Act, and (4) caselaw spanning decades finding that the Commission had jurisdiction over the types of claims brought here both before and after the OSRA 2022 amendments. Respondents’ attempt to defend their Third Affirmative Defense is legally deficient and the defense should be dismissed.

⁶ Ocean Shipping Reform Act of 1998, Pub. L. 105-258 (1998) (“OSRA 1998”).

⁷ The Ocean Shipping Reform Act of 2022, Pub. L. 117-146 (2022) (“OSRA 2022”).

⁸ Note that Complainant rejects the idea that OSRA 2022 somehow categorically “restored” Commission jurisdiction, but even under Respondents’ own strained interpretation of the OSRA amendments in 1998 and 2022, their argument fails. (Motion 20–21.)

1. There Are No Changes Between OSRA 1998 and OSRA 2022 to Support Respondents' Third Affirmative Defense.

First, the Motion meticulously compared OSRA 1998 against OSRA 2022 to demonstrate (1) that the statutory provisions underlying Counts I, II, and III—46 U.S. Code Sections 41102(c) and 41104(a)(2)—remained *unchanged* between OSRA 1998 and 2022 and (2) the minute change to the provision underlying Count IV, 46 U.S. Code Section 41104(a)(10)—by adding an example of the type of conduct prohibited—does not affect the Commission's jurisdiction over the claims in the Complaint. (Motion 18–22.) Rather than attempting to rebut this argument, Respondents readily *admit* that even under their interpretation, OSRA 2022 “restored” jurisdiction over claims that purportedly were unavailable prior to 2022. (Opp’n at 6, 19.) Given Respondents’ own admission that OSRA 2022 provides jurisdiction over Complainant’s claims, and the uncontested lack of change between OSRA 1998 and OSRA 2022 with respect to the statutory provisions underlying Complainant’s claims, it is readily apparent that the Commission has had jurisdiction over such claims both before and after the passage of OSRA 2022.

2. Respondents' Redline Hurts, Rather Than Supports, Their Theory.

Second, Respondents offer a redline of the 1984 Shipping Act with OSRA 1998 on page 15 of the Opposition and claim, without explanation, that the Shipping Act from 1998 through 2022 “was specifically limited to three narrow prohibitions” containing “no provision on which BBY can construct a claim of unreasonable practices with regard to its individual service contract terms and performance.” (Opp’n at 16.) A plain reading of the redline defeats Respondents’ claim, as the OSRA 1998 Shipping Act plainly refers in Section 10(b)(3) to “refusing or threatening to refuse, cargo space accommodations, when available” as a prohibited form of retaliation and states in Section 10(b)(10) that a carrier may not “unreasonably refuse to deal or negotiate” for any reason.

3. Caselaw and Contemporaneous Public Statements Disprove Respondents' Theory.

Respondents' *post hoc* attempt to limit the scope of the Shipping Act flies in the face of decades of Commission precedent exercising jurisdiction over similar claims (*see* Motion 16–17) and ignores a key interpretation from the Commission's then-Managing Director Walsh, stating in a 1998 letter that common carriers could not refuse to provide service simply because it may be less profitable and that carriers still maintain a “duty” to serve the public fairly regardless of profitability goals. (Motion at 21.) Finally, the Presiding Officer's extensive reliance on pre-OSRA 2022 precedent in affirming the Commission's jurisdiction in both *MCS* and *OJ Commerce* (cases that both arose under the same pre-OSRA 2022 Shipping Act provisions underlying Complainant's claims in this action) highlight the flaws in Respondents' arguments. (Motion at 15–16.)

4. The Speeches Respondents Cite Do Not Support the Narrow Interpretation of the Shipping Act Espoused by Respondents.

The balance of Respondents' arguments regarding the purported scope of OSRA 1998 as it relates to discrimination and undue preference claims fail.⁹ For example, the Senate Report discussed at page 16 of Respondents' Opposition, the statements by then-Commission Chairman Harold Creel on page 17, and the statements of Senator Kay Bailey Hutchison on page 18 of the Opposition all fail to discuss any purported changes to the Shipping Act's prohibitions on space accommodation restrictions or refusals to accommodate cargo requests as part of a practice to prefer higher-priced cargo and to coerce high surcharges or entry into premium price contracts. Most telling are the statements cited by Senator Hutchison, which claim to outline the “key

⁹ The Complaint in this action notably does not bring causes of action under 46 U.S. Code Sections 41104(a)(5) (prohibiting “unfair or unjustly discriminatory practice[s]” in connection with “service pursuant to a service contract”) or 41104(a)(9) (prohibiting giving “any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage with respect to any port” in connection with “service pursuant to a service contract”), further undermining the relevance of Respondents' purported legislative history.

provisions” of the 1998 amendment but do not reference space accommodations or coercive practices regarding fees and premium pricing. Accordingly, Respondents’ Third Affirmative Defense should be dismissed, as well.

II. IT IS PROPER TO JETTISON RESPONDENTS’ LEGALLY INVALID CLAIMS AT THIS STAGE.

Having established that Respondents’ First, Second, and Third Affirmative Defenses are legally deficient, it is appropriate for the Presiding Officer to rule in Complainant’s favor on the Motion and dismiss (1) the First Affirmative Defense as it relates to limiting the Commission’s jurisdiction over claims arising in the context of a service contract and (2) the Second and Third Affirmative Defenses in full.

A. It Is Appropriate to Make Jurisdictional Determinations Early in a Proceeding.

Respondents do not challenge the Motion’s contention that “[i]t is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it”, (*MCS Indus., Inc.*, FMC Dkt. No. 21-05, 2022 WL 458569, at *5 (emphasis added) (citation omitted)), except to argue that further factual development is needed. As shown in the Motion and herein, however, Complainant’s Motion raises only legal issues, and the Presiding Officer can and should make a determination regarding its jurisdiction now.

B. No Further Factual Development Is Necessary.

“It is common to apply Rule 12(c) to . . . individual affirmative defenses and answers.” *Neo4j, Inc. v. PureThink, LLC*, No. 5:18-cv-07182-EJD, 2020 WL 2614871, at *4 (N.D. Cal. May 21, 2020) (cleaned up). “The standard for determining whether to grant a motion for judgment on the pleadings [directed towards affirmative defenses] under Rule 12(c) . . . is [also] the same as that governing a motion to dismiss made under Rule 12(b)(6) . . . for *the court’s task is to ‘assess the legal feasibility of the [affirmative defense] or counterclaim, not assay the weight of the*

evidence which might be offered in support thereof.” Kidder Peabody & Co. v. Unigestion Int’l, Ltd., 903 F. Supp. 479, 492 (S.D.N.Y. 1995) (emphasis added).

Respondents argue extensively that further factual development is needed before the Presiding Officer can make a decision regarding the validity of Respondents’ jurisdictional affirmative defenses, but these arguments fail because the Affirmative Defenses fail *as a matter of law* and no factual assessment is needed in light of the plain language of the statutes at issue and the well-established precedent supporting the Presiding Officer’s jurisdiction over the Complainant’s claims.

1. The Third Affirmative Defense Has No Facts at Issue.

The Third Affirmative Defense challenges the legal interpretation of the statutes invoked in Counts I, III, and IV as they existed prior to OSRA 2022’s entry into law. (Notably, Respondents do not appear to claim that Complainant’s detention and demurrage-related claims under Section 41102(c) in Count II of the Complaint were precluded prior to OSRA 2022.) Respondents themselves point to no *factual issues* that need development to determine the viability of the Third Affirmative Defense, and it is proper for the Presiding Officer to dismiss it at this time.

2. The First and Second Affirmative Defenses Have No Facts at Issue.

As detailed in the Motion and above, the First and Second Affirmative Defenses are both legally deficient. Since no facts are necessary to make that determination, the Presiding Officer should dismiss them to the extent they claim the Commission lacks jurisdiction over Count III (or any other Count) of the Complaint merely because the parties had a service contract.

The Opposition makes clear that its jurisdictional Affirmative Defenses One and Two are intended to apply only to Count III of the Complaint. (Opposition at 20.) As discussed above, these Affirmative Defenses claim that Count III’s Section 41104(a)(2) claim is nothing more than a breach of contract claim and that 46 U.S. Code Section 40502(f)’s “exclusive remedy” in the

courts for such claims strips the Commission of jurisdiction over the claim unless there is “evidence of ‘extraordinary aspects’ of its case that ‘distinguish it substantially from a contract claim.’” (Opp’n at 21–22 (citing *Cargo One, Inc.*, 2000 WL 1648961, at *14).) Respondents’ position misunderstands the basis on which the Motion seeks dismissal of the Affirmative Defenses: the claims in the Complaint are expressly Shipping Act claims and seek relief provided not by the underlying service contracts between the parties, but instead by the Shipping Act itself. Count III, though necessarily predicated on a service contract between the parties and alleged conduct inconsistent with it, also incorporates wide-ranging allegations of parallel, substantially similar conduct by Respondents with respect to Complainant and other shippers, including other shippers that had service contracts with Respondents. No set of purported alternative “facts” could change Complainant’s claim in Count III into a plain breach of contract claim.

Respondents’ dogged reliance on the *Cargo One* decision does not change the fate of their Affirmative Defenses. *Cargo One* simply recognizes that the Commission should determine whether “complainants’ allegations” are “inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act,” noting that “allegations essentially comprising contract law claims should be dismissed” whereas if an “alleged violation raises issues beyond contractual obligations the Commission will likely presume . . . that the matter is appropriately before the agency.” *Cargo One, Inc.*, 2000 WL 1648961, at *14. Respondents inappropriately extrapolate *Cargo One* and argue that “claims in the nature of breach of contract, ***explicitly including claims under 46 U.S.C. § 41104(a)(2)***, may ***not*** be heard by the FMC.” (Opp’n at 21 (emphasis in original).) But *Cargo One* does not support that proposition. ***First***, as noted above, Respondents cannot credibly argue that ***all*** claims under Section 41104(a)(2) cannot be heard by the Commission, because such an argument would effectively read Section 41104(a)(2) out of the

Shipping Act entirety, and “statutes must be interpreted to give meaning to all of their terms.” *Perry v. Dowling*, 95 F.3d 231, 238 (2d Cir. 1996). **Second**, Respondents’ reading is inconsistent with *Cargo One* itself, which stated that “we believe that Congress did not intend that the section 8(c) ‘exclusive remedy’ language would nullify the sections 10 and 11 rights of complainants to bring suit on any matter tangentially or even substantially related to service contract obligations.” *Cargo One*, 2000 WL 1648961, at *12. **Third**, *Cargo One* did not purport to create a bright line rule regarding whether and what claims are “substantially contract law claims” outside of the Commission’s jurisdiction, but instead found that the particular claims in that case, as alleged therein, were essentially contract law claims. *Id.* at *15.

Critically, although *Cargo One* reviewed then-applicable Sections 10(b)(1) and (3) of the Shipping Act to determine that the claims based on *those* provisions were substantially contract claims that, in the absence of evidence to the contrary, would be deemed outside of the Commission’s jurisdiction, those two provisions were later **stricken** from the Shipping Act. *See* Ocean Shipping Reform Act of 1998, Pub. L. 105–258, 112 Stat. 1902, 1909 (1998). *Cargo One* thus does not require the Presiding Officer to conduct a factual analysis of Respondents’ Affirmative Defenses through discovery because the claims, as pled, are necessarily Shipping Act claims that will rise or fall as Shipping Act claims pursuant to the statutory provisions under which they are alleged.¹⁰

Finally, even if *Cargo One* were interpreted to require that “inherent” contract claims require specific evidentiary allegations, as discussed above, Complainant’s claims are *not* breach of contract claims. As the Presiding Officer held in *MCS*: “The complaint does not allege a breach

¹⁰ Respondents’ argument to the contrary claims that “a would-be complainant such as BBBY may not confer jurisdiction on the FMC merely by saying ‘46 U.S.C. § 41104(a)(2),’ instead of ‘breach of contract.’” (Opp’n at 23.) This argument ignores the facts as alleged in the Complaint that describe the scope of Complainant’s claims carefully to align with the Shipping Act and that raise issues beyond the parties’ bilateral service contracts.

of the service contract but rather that Respondent's rules and practices violated the Shipping Act. Moreover, this section specifically and explicitly applies to service contracts. Therefore, the amended complaint properly alleges a plausible violation of section 41102(a)(2)(A)." *MCS Industries, Inc.*, 2022 WL 458569, at *7.

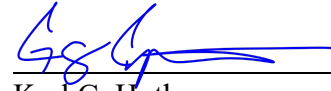
CONCLUSION

For the reasons stated herein and in the Motion, Complainant respectfully requests that the Presiding Officer enter a partial decision on the pleadings in Complainant's favor and dismiss Respondents' Second and Third Affirmative Defenses in full and Respondents' First Affirmative Defense in part to the extent that it claims that the Commission lacks jurisdiction over Complainant's claims.

Dated: August 2, 2023

Respectfully submitted,

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of those documents to their counsel of record listed below:

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Dated: August 2, 2023



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